Redington Ltd

Concall tracker, Q2 FY27 (quarter to Sep 2026) · NSE: REDINGTON · report filed under Q2-2027

1. Snapshot

Redington is a technology distributor. It buys phones, laptops, servers, software licences and cloud subscriptions from brands like Apple, Lenovo, HP, Dell, Microsoft and Google, and sells them on to dealers, retailers and system integrators across India, the Middle East, Africa and Turkey. It earns a thin cut on a huge volume of sales, so its job is to move goods fast and collect cash on time.

Number	Value	Plain read
Market cap	₹26,842 cr	What the whole company is worth on the stock market today.
FY26 revenue (group)	₹1,19,347 cr	Total sales for the year to March 2026, up 20%. A very large business by Indian standards.
H1 FY27 revenue (group)	₹77,967 cr	Six months to Sep 2026, up 41%. Growth has sped up sharply this year.
H1 FY27 profit (group, before one-offs)	₹1,067 cr	Up 61%, so profit is growing faster than sales.
Operating margin (India book, Screener)	~2%	About two rupees of operating profit on every hundred of sales. Normal for a distributor; it is a volume game.
P/E	16.1	The share costs about 16 years of current profit. Not expensive for a business growing this fast.
ROE / ROCE	25% / 26%	It earns a good return on the money in the business, despite thin margins, because the cash turns over quickly.
Debt to equity	0.5-0.6x (per the call)	Borrowing has risen to fund stock and customer credit as sales jump. Management says it is comfortable here.

2. Concall coverage

Quarter	Call date	Read?
Q2 FY24 to Q4 FY25 (7 calls)	Nov 2023 to May 2025	Skimmed for promises and guidance
Q1 FY26, Q2 FY26, Q3 FY26	Jul 2025, Nov 2025, 5 Feb 2026	Skimmed for promises and guidance
Q4 FY26	14 May 2026	Read for guidance and Arena
SSG (software) investor day	17 Jun 2026	Skimmed
Q1 FY27	30 Jul 2026	Read in full
Q2 FY27	4 Nov 2026	Read in full ★

Thirteen calls across three years. Redington holds a call every quarter, so the consistency read rests on a long record.

Latest concall highlights: Q2 FY27 (4 Nov 2026)

- **Record quarter.** Group revenue ₹43,002 cr, up 48%, and profit before one-offs ₹581 cr, up 50%. Leaving out the Turkey unit, revenue grew 54% and profit 55%.
- **AI servers are the new engine.** The servers-and-networking arm (TSG) grew 91% and is now a fifth of sales. Big data-centre deals worth over ₹3,800 cr, almost all for "neo cloud" companies building AI data centres in India, made up about 9% of group sales. Without them TSG still grew about a third.
- **Much of the rest is price.** Phones and PCs cost 30-50% more than a year ago because of chip shortages. PC unit volumes are flat to down; consumer PC activations are down 20-30%. Management expects demand to soften at some point.
- **Guidance for H2:** growth "should be" above 25%, with servers and software leading and phones and PCs more cautious.
- **Turkey (Arena) got worse.** Redington's share of the loss was ₹115 cr, including a ₹40 cr write-down. A new management team runs it; no turnaround date given.

Business mix & capacity

India vs overseas: India distribution grew 67% and is the biggest growth market; the Middle East, Africa and Turkey make up the rest. An exact India/overseas split was not given on the call.
Mix by segment (Q2 FY27): Phones 34%, PCs 30%, servers and networking 20%, software and cloud 15%.
Capacity: a distributor has no plants. The useful measure is working capital, 35 days, at the low end of the 35-40 day range it has guided to for years. That means cash is not getting stuck even as sales jump.

3. Earning trigger thesis

The trigger is the shift in Indian data centres from ordinary servers to AI servers with graphics chips, which cost about four times as much. Redington is the go-between for the brands and the new AI cloud operators, and it uses its balance sheet to back the big deals. On top of that, the software and cloud arm keeps growing at around 40-50% with higher margins than the rest. The catch is that a good chunk of this year's growth is chip-shortage price inflation on phones and PCs, which won't repeat.

Trigger	What management said	Evidence so far	Horizon	Strength
AI data-centre deals (TSG)	Q1 FY27: pipeline "many multiples" of ₹1,000 cr. Q2 FY27: CPU-to-GPU shift is a run-rate trend, not a price blip; ₹1.5 lakh cr opportunity over 4 years.	Large deals went from ~₹500 cr (Q4 FY26) to ~₹1,000 cr (Q1) to ₹3,800 cr (Q2).	Next 2-4 years	Strong. Already in the numbers, though deal timing is lumpy and margins on these deals are lower.
Software, cloud, security (SSG)	Fastest-growing, higher-margin arm; push from reselling to "orchestration".	Grew 52% in Q1 and 39% in Q2; gross margin above 6% vs about 5% group.	Ongoing	Moderate to strong. Steady, but still only 15% of sales.
Premium phones and AI PCs	Premium phones and enterprise PC refresh keep revenue up.	Phones +40%, PCs +38% in Q2, mostly from higher prices.	A few quarters	Weak as a durable driver. Price-led; unit volumes falling.
Arena (Turkey) fix	Exit costly local-currency business, rebuild a dollar-based one.	Losses widened in Q2 with a fresh write-down.	Unclear	Unproven.

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Debt is rising with growth; a capital raise is possible if the trend holds (4 Nov 2026).
New business	Yes	"AI exchange ... has moved from concept to commercial activity"; AI centre in Singapore launched (4 Nov 2026).
Margin up	No	Gross margin "broadly similar" to last quarter; large deals carry lower margins (4 Nov 2026).
New management	No	Only the Turkey subsidiary got a new team.
New capacity	No	Not a manufacturer.
Big orders	Yes	"Large deals exceeded INR3,800 crores", "almost all neo cloud"; backlog "many multiples" of ₹1,000 cr (30 Jul and 4 Nov 2026).
Turnaround	No	Arena still losing money; "we really cannot estimate all the new curve balls" (4 Nov 2026).
Promoter buying	No	Redington has no promoter group.

Single concrete driver: Large AI server deals for neo cloud data-centre builders in India, which Redington supplies and part-finances, jumped to over ₹3,800 cr in the September quarter.

3c. Margin bridge

Margins were flat. Gross margin is about the same as a year ago once the low-margin big deals are taken out (about 5.1%). Costs grew slower than sales (40% vs 48%), which lifted profit, but bad-debt provisions of ₹213 cr, mostly in Turkey, and war-related freight and insurance in the Gulf ate part of that. Management guides operating costs to ₹950-1,000 cr a quarter.

4. Management consistency scorecard

Period	What was promised	What happened	Verdict
Every call since FY24	Keep working capital at 35-40 days.	34 days (Q4 FY24), 32 days (Q1 FY27), 35 days (Q2 FY27).	Delivered
Q4 FY25 (May 2025)	"Good strong double-digit growth" for the next three years.	FY26 revenue +20%; H1 FY27 +41%.	Delivered
FY26 calls	Software and cloud to be the fastest-growing arm.	Grew 50%+ in Q1 FY27, 39% in Q2; servers overtook it on the AI wave.	Delivered
Q3 FY26 (Feb 2026)	Arena "might move towards a breakeven" next year; healthy "as we approach 2027".	Q4 FY26 pushed real profit to "the subsequent year"; Q2 FY27 loss widened with another write-down.	Missed
Q1 FY27 (Jul 2026)	Big data-centre deal backlog to convert in the next few quarters.	Large deals rose from ~₹1,000 cr to ₹3,800 cr in one quarter.	Delivered
Q1 FY27	Watch channel stock of PCs (2-3 months).	Still "a little bit more than a comfortable level" in Q2.	Too early

Narrative drift: The core story has stayed steady for three years: grow the higher-value server and software arms, keep cash tight, and use scale with the big brands. What's new is the AI data-centre wave, and management has been fairly candid that phone and PC growth is price-led. The weak spot is Turkey. Arena has been "nearly fixed" on almost every call for two years and keeps throwing up new losses. Tone in the latest call was confident but careful about demand.

Durable earning trigger? → YES

The AI data-centre build-out in India is real, named and already in the numbers, and Redington is the distributor the brands use for it. Software and cloud add a steady, higher-margin second engine. Strip out price inflation on phones and PCs and the growth is smaller, but still there.

Management consistent? → MAYBE

On the core business they've done what they said, quarter after quarter, especially on working capital. On Turkey they've missed every turnaround date and keep adding write-downs. That one unit keeps this from a clean Yes.

6. Checkpoints for next quarter

- Large data-centre deals keep coming in the December quarter
- Working capital stays within the 35-40 day range
- Arena's quarterly loss shrinks with no new write-down

Sources: Redington earnings call transcripts via Screener.in (NSE/BSE filings), Q2 FY24 to Q2 FY27; Screener.in financials. Not investment advice.